

forecasts create feedback that cancels their effect (this is called the Lucas critique, after the economist Robert Lucas). Let's say economists predict inflation; in response to these expectations the Federal Reserve acts and lowers inflation. So you cannot judge the forecast accuracy in economics as you would with other events. I agree with this point, but I do not believe that it is the cause of the economists' failure to predict. The world is far too complicated for their discipline.

When an economist fails to predict outliers he often invokes the issue of earthquakes or revolutions, claiming that he is not into geodesics, atmospheric sciences, or political science, instead of incorporating these fields into his studies and accepting that his field does not exist in isolation. Economics is the most insular of fields; it is the one that quotes least from outside itself! Economics is perhaps the subject that currently has the highest number of philistine scholars—scholarship without erudition and natural curiosity can close your mind and lead to the fragmentation of disciplines.

“OTHER THAN THAT,” IT WAS OKAY

We have used the story of the Sydney Opera House as a springboard for our discussion of prediction. We will now address another constant in human nature: a systematic error made by project planners, coming from a mixture of human nature, the complexity of the world, or the structure of organizations. In order to survive, institutions may need to give themselves and others the appearance of having a “vision.”

Plans fail because of what we have called tunneling, the neglect of sources of uncertainty outside the plan itself.

The typical scenario is as follows. Joe, a nonfiction writer, gets a book contract with a set final date for delivery two years from now. The topic is relatively easy: the authorized biography of the writer Salman Rushdie, for which Joe has compiled ample data. He has even tracked down Rushdie's former girlfriends and is thrilled at the prospect of pleasant interviews. Two years later, minus, say, three months, he calls to explain to the publisher that he will be *a little* delayed. The publisher has seen this coming; he is used to authors being late. The publishing house now has cold feet because the subject has *unexpectedly* faded from public attention—the firm projected that interest in Rushdie would remain high, but attention has faded, seemingly because the Iranians, for some reason, lost interest in killing him.

Let's look at the source of the biographer's underestimation of the time for completion. He projected his own schedule, but he tunneled, as he did not forecast that some “external” events would emerge to slow him down. Among these external events were the disasters on September 11, 2001, which set him